# Cholamandalam Investment and Finance Company Ltd (CHOLAFIN)

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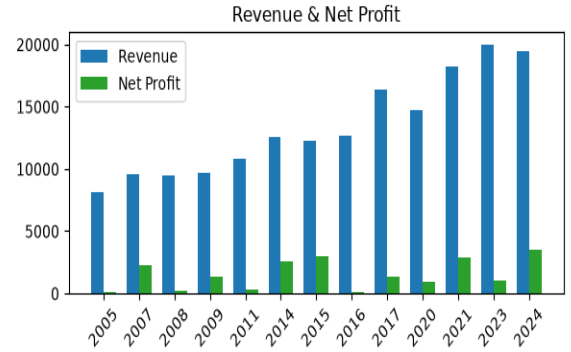
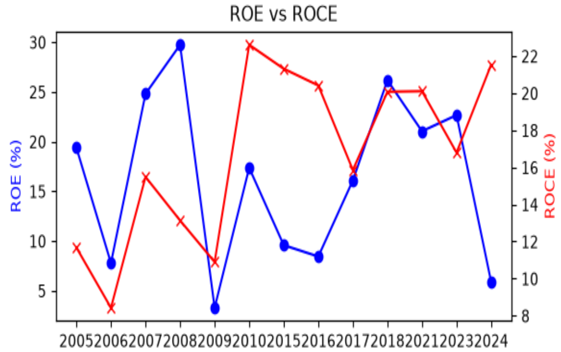
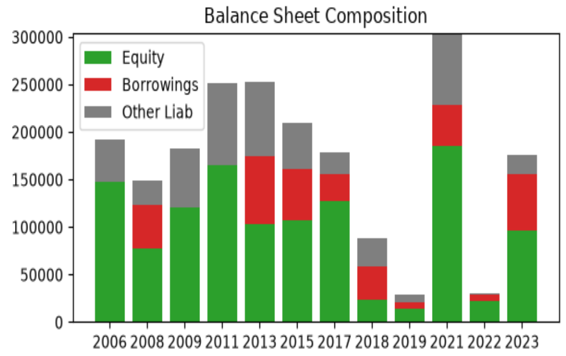
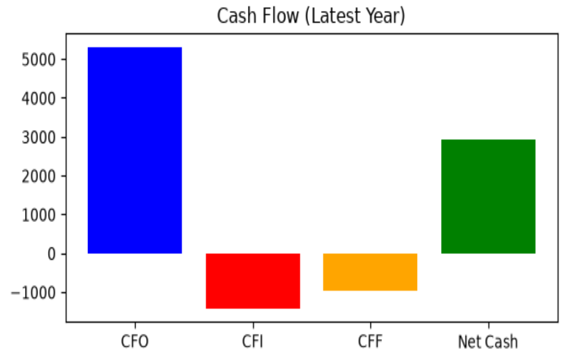
|---|---|---|---|---|---|
| Revenue | Rs. 19429.9 Cr | Net Profit | Rs. 3504.3 Cr | OPM | 32.9% |
| ROE | 5.9% | ROCE | 21.5% | D/E | 0.30 |






## *Capital Allocation Pattern: Value*

***Pros:***

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

***Cons:***

- Revenue contraction over consecutive years indicates demand weakness or market share loss
- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility